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Module 1. Introduction to Stock Markets

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14. Supplementary note – Rights, OFS, FPO

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IPO, OFS, and FPO – How are they different?

IPO

Initial Public Offering is when a company is introduced into the publicly traded stock markets for the first time. In the IPO, the company's promoters choose to offer a certain percentage of shares to the public. The reason for going public and the process of an IPO is explained in detail in Chapters 4 and 5.

The primary reason for going public is to raise capital to fund expansion projects or cash out early investors. After the IPO is listed on the exchange and is traded in the secondary market, promoters of the company might still want additional capital. There are three options available: Rights Issue, Offer for Sale and Follow-on Public Offer.

Rights Issue

The promoters can choose to raise additional capital from its existing shareholders by offering them new shares at a discounted price (generally lower than Market Price). The company offers new shares in the proportion of shares already held by the shareholders. For example, a 1:4 Rights Issue would mean that every 4 shares held 1 additional share is offered. Although this option looks good, it limits the company to raise the capital from a small number of investors who are already holding shares of the company and might not want to invest more. A rights issue leads to the creation of new shares that are offered to the shareholders, which dilutes the value of the previously held shares.

An example of a Rights issue is South Indian Bank which announced a 1:3 (One share for every 3 held) issue for Rs 14 which is 30% lower than the Market Price the stock was trading (Rs 20 as on Record date 17 Feb 2017). The bank offered 45.07 lakh shares to the existing shareholders.

The rights issue is covered in detail in Chapter 11, covering key Corporate Actions.

OFS

The promoters can choose to offer the secondary issue of shares to the whole market, unlike a rights issue restricted to existing shareholders. The Exchange provides a separate window through the stockbrokers for the Offer for Sale. The exchange allows a company to route funds through OFS only if the Promoters want to sell out their holdings and/or maintain minimum public shareholding requirements (Govt. PSU have a public shareholding requirement of 25%).

There is a floor price set by the company, at or above which both Retail and Non-Retail investors can make bids. The shares are allotted, if bids are at a cut-off price or above will be settled by the exchange into the investor Demat account in T+1 days.

An example of an Offer for Sale is NTPC limited, which offered a maximum of 46.35 million shares at a floor price of Rs 168 and was fully subscribed in the 2 day period. The OFS was held on 29th August 2017 for Non-Retail Investors and 30th August 2017.

FPO

An FPO also has the same intent of raising additional capital after it has been listed but follows a different mechanism for applying and allotting shares. Shares can be diluted, and fresh shares can be created and offered in an FPO. Just like an IPO, an FPO requires that Merchant Bankers be appointed to create a Draft Red Herring Prospectus which has to be approved by SEBI after which bidding is allowed in a 3-5 day period. Investors can place their bids through ASBA and shares are allotted based on the Cut-off Price decided after the book-building process. Since the introduction of OFS in 2012, FPOs are seldom used due to the lengthy approval process.

The company decides on a Price Band, and the FPO is publicly advertised. Prospective investors can bid for the issue using the ASBA portal through Internet Banking or apply offline through a Bank Branch. After the bidding process is complete, the cut-off price is declared based on the demand and the additional shares allotted are listed on the exchange for trading in the secondary markets.

An example of an FPO is of Engineers India Ltd which underwent an issue in February 2014 with Rs 145-Rs 150. The issue was oversubscribed by 3 times. The shares on the day of the starting date of the issue were trading at Rs 151.1. The lower price band was at a 4.2% discount from the market price.

Difference between OFS and FPO

- An OFS is used to offload Promoters' shares while an FPO is used to fund new projects.
- Dilution of shares is allowed in an FPO leading to change in Shareholding structure while OFS does not affect the number of authorized shares.
- Only the companies with a Market Capitalisation of Rs 1000 crores and above can use the OFS route to raise funds while all the listed companies can use the FPO option.
- Ever since SEBI has introduced OFS, FPO issues have come down, and companies prefer to choose the OFS route to raise funds

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[291 comments](#)

1.  *Uday Kiran* says:
[May 25, 2025 at 9:02 pm](#)

hi, I'm beginner to the stock mrkt.i have a doubt. in 90's harshath mehta was got arrested coz he manipulated the mrkt and made the prices raise.but now in the stock mrkt we can also sell the stock higher amount the isn't it a scam?? how does it actually work ??

[Reply](#)

- o  *Karthik Rangappa* says:
[May 26, 2025 at 10:53 am](#)

Not really Uday. What HM did was manipulation by exploiting settlement cycles. But price increase can also happen due to bull markets right?

[Reply](#)

2.  *Tulsi Tankha* says:
[February 11, 2025 at 8:30 pm](#)

Hello sir,

I am a little bit confused between OFS and FPO in terms of shareholding or issuing of shares. Are fresh shares not issued in OFS? And mostly process remaining the same for both; they are differentiated in terms of the company market cap? Right?

Thank you.

[Reply](#)

- o  *Karthik Rangappa* says:
[February 12, 2025 at 11:58 am](#)

OFS = Offer for sale, which is mostly existing shares. FPO is fresh issue of shares.

[Reply](#)

3.  *yatin* says:
[December 29, 2024 at 6:08 pm](#)

Hey Karthik i want to know about the ipo in which the money gets into promoter account and another where money get used for CAPEX

[Reply](#)

- o  *Karthik Rangappa* says:
[December 30, 2024 at 9:22 am](#)

Hi Yatin, this is explicitly stated in the IPO document itself.

[Reply](#)

4.  *Chinmaya Adiga* says:
[September 17, 2024 at 8:19 pm](#)

Great content karthik sir

I just wanted to know how a company will benefit from OFS, if the money received will provide an exit to existing investors and not to the company.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 18, 2024 at 10:20 am](#)

Its an offer for sale, Chinmaya. Basically it helps the existing shareholders by providing an exit. No benefit for the company as such.

[Reply](#)

5.  *Rajendra* says:
[August 22, 2024 at 8:42 pm](#)

I applied for OFS in the non retail category as an individual. Will I be able to put in another separate bid in the retail category in zerodha console?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 23, 2024 at 10:58 am](#)

I'd suggest you speak with support for this 😊

[Reply](#)

6.  *Bino* says:
[August 12, 2024 at 3:02 pm](#)

Please confirm whether total number of shares of a company increases/stays the same after Rights issue, OFS or FPO?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 13, 2024 at 10:58 am](#)

Sharecapital will increase as rights issue is a means of raising funds.

[Reply](#)



7. *Sapna* says:

[August 10, 2024 at 6:35 am](#)

Is the face value of a share affected in an FPO?

[Reply](#)



o *Karthik Rangappa* says:

[August 11, 2024 at 11:48 am](#)

Not really.

[Reply](#)



8. *suhas askdui* says:

[April 22, 2024 at 2:58 pm](#)

I just graduated from Bristol Business School in the UK after completing my Masters in Finance and Accounting. I have taken this up to learn about Stock markets in details as I am yet to get a job after my masters. I hope I can take this professionally and get a job, through the knowledge I have gained through Varsity.

[Reply](#)



o *Karthik Rangappa* says:

[April 23, 2024 at 10:23 am](#)

Happy learning, and good luck Suhas. I sure do hope you land up in a good job.

[Reply](#)



9. *Dhruv* says:

[April 12, 2024 at 4:27 pm](#)

I have shares of a company, their price is 13 rupees and the company has come with FPO with the price of 11 rupees, I applied in fpo, shares are allotted, in the price of 11 rupees, now on the day of listing, my question is (the script of fpo shares is listed separately ? or it happen that the shares before by at 13 will fall in the average price of 12 rupees and after the FPO share 11 price allotted?

[Reply](#)



o *Karthik Rangappa* says:

[April 13, 2024 at 6:10 am](#)

Check this, hopefully you will have your answers – <https://www.youtube.com/watch?v=m7U4liUJAkE>

[Reply](#)



10. *sanvi kumar* says:

[April 3, 2024 at 1:21 pm](#)

What is ASBA Portal

[Reply](#)

-  *Karthik Rangappa* says:
[April 4, 2024 at 9:49 am](#)

ASBA for IPO applications. Check this –
<https://support.zerodha.com/category/console/ipo/other-ipo-queries/articles/what-is-asba>

[Reply](#)

11.  *Manoj* says:
[March 12, 2024 at 7:32 pm](#)

Hii Karthik, great content

Can you clarify this.
IPO is basically book bidding process to find the right price for the listing
And whereas secondary market starts once it is listed in stock market at the price decided right?

[Reply](#)

-  *Karthik Rangappa* says:
[March 13, 2024 at 11:06 am](#)

The market forces decide on the price Manoj. This is called price discovery 😊

[Reply](#)

12.  *Snandan* says:
[November 14, 2023 at 6:59 pm](#)

In the starting it was mentioned that the main purpose of OFS & FPO is the procurement of capital after the company is listed in secondary markets. But in case of OFS, the money goes in the hands of promoters so how does OFS benefit the company in capital procurement process? Doesn't it benefit the promoters only?

[Reply](#)

-  *Karthik Rangappa* says:
[November 15, 2023 at 9:44 am](#)

Depends, there could be an OFS just to gain some liquidity from promoters. So it really depends. Do read the reasons for OFS, that will give you a perspective.

[Reply](#)

13.  *Satyam* says:
[November 9, 2023 at 7:01 pm](#)

I am grateful to Zerodha for providing good presentation of concepts related to finance and stock market. Stock market concepts which looked monotonous and laborious to me earlier, were very well simplified in your videos and modules

[Reply](#)

-  *Karthik Rangappa* says:
[November 10, 2023 at 10:05 am](#)

Thanks for letting us know, Satyam. Happy learning 😊

[Reply](#)

14.  *Rajat* says:
[November 4, 2023 at 11:43 am](#)

Hi

I am curious to know when a company makes an IPO and now shares are trading on an exchange. But now when they make an fpo at what price are the shares going to be offered in and FPO whether CMP/IPO PRICE or any other price.

Thank you

[Reply](#)

- o  *Karthik Rangappa* says:
[November 5, 2023 at 7:06 am](#)

They will announce that price, usually at a discount to current market price.

[Reply](#)

15.  *Shivam* says:
[September 30, 2023 at 12:14 pm](#)

Sir i have a question, does company offers OFS cheaper than the CMP or at CMP ?

[Reply](#)

- o  *Karthik Rangappa* says:
[October 1, 2023 at 8:37 am](#)

It is usually at price around the CMP, maybe higher to make the OFS look attractive.

[Reply](#)

16.  *Jayesh Agrawal* says:
[September 23, 2023 at 10:27 pm](#)

Hello Karthik,

Nice Explanation

I have a major doubt, regarding dilution of shares and it's value when a company goes for IPO/OFS/Rights issue/FPO

And what does Fresh issue mean? Is there an alternate to fresh issue?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 24, 2023 at 8:34 am](#)

Fresh issue means that the company is infusing new equity shares into the company, Jayesh.

These shares are from authorised but not net issued. Check this –

[https://www.youtube.com/watch?v=q-](https://www.youtube.com/watch?v=q-T2svXZ77s&list=PLX2SHiKfualGOP9093b6qo11EsgCz8luQ&index=11)

[T2svXZ77s&list=PLX2SHiKfualGOP9093b6qo11EsgCz8luQ&index=11](https://www.youtube.com/watch?v=q-T2svXZ77s&list=PLX2SHiKfualGOP9093b6qo11EsgCz8luQ&index=11)

[Reply](#)

17.  *Saddam shaikh* says:
[September 19, 2023 at 2:03 pm](#)

Noice learning!! Thank you for clearing the concepts

[Reply](#)

-  *Karthik Rangappa* says:
[September 20, 2023 at 7:14 am](#)

Sure, happy learning Saddam.

[Reply](#)

18.  *keshav* says:
[August 30, 2023 at 6:10 pm](#)

Hi Karthik,

I am not entirely clear on how a Rights Issue leads to share dilution.

If the total number of shares is being increased from say 1000 to 2000, does that mean every shareholder's investment value will be halved? Or will the number of shares being held by each investor automatically double in order to conserve their investment value?

Thank you.

[Reply](#)

-  *Karthik Rangappa* says:
[August 31, 2023 at 8:58 am](#)

Value will remain the same, but the future earnings will be divided across more shareholders, Keshav. So, the dilution.

[Reply](#)

19.  *narendra* says:
[August 1, 2023 at 2:10 pm](#)

can you explain me about OFS with one more example

[Reply](#)

-  *Karthik Rangappa* says:
[August 2, 2023 at 11:15 am](#)

Will be putting up a video on this soon, Narendra. Do keep an eye on our channel.

[Reply](#)

20.  *sabby* says:
[June 30, 2023 at 1:42 pm](#)

Please add this supplementary material to the module pdf..

[Reply](#)

-  *Karthik Rangappa* says:
[July 1, 2023 at 7:43 am](#)

Noted.

[Reply](#)

21.  *Saravana* says:
[February 24, 2023 at 4:19 pm](#)

Hi Sir,
when retail investors can start trading? Is it after IPO? since ipo comes in lots, when it will be available to trade small quantity?

Thanks.

[Reply](#)

- o  *Karthik Rangappa* says:
[February 25, 2023 at 10:07 am](#)

Yes, the day the stock lists on the stock exchanges, you can start trading.

[Reply](#)

22.  *ARUN* says:
[February 14, 2023 at 3:50 pm](#)

Only the top 200 companies by Market Capitalisation can use the OFS route to raise funds while all listed companies can use FPO option.

PLEASE UPDATE THIS companies by Market Capitalisation OF 1000 CRORES AND ABOVE CAN PARTICIPATE IN OFS NOW AS PER SEBI GUIDELINES
@

[Reply](#)

- o  *Karthik Rangappa* says:
[February 15, 2023 at 10:58 am](#)

Checking this.

[Reply](#)

23.  *Himanshu* says:
[January 29, 2023 at 4:47 pm](#)

>> Dilution of shares is allowed in an FPO leading to change in Shareholding structure while OFS does not affect the number of authorized* shares.
I think it should be outstanding* shares?

[Reply](#)

- o  *Karthik Rangappa* says:
[January 30, 2023 at 10:18 am](#)

Let me look into this. Thanks 😊

[Reply](#)

24.  *venkatesh* says:
[October 14, 2022 at 2:46 am](#)

sir

1. what is dilution of shares(in relation to ofs,fpo)
2. what are authorized shares
3. what are outstanding shares

[Reply](#)



- o *Karthik Rangappa* says:
[October 14, 2022 at 10:20 am](#)

- 1) Shares that are offered for fulfilling a corporate action.
- 2) Shares which are subscribed by investors
- 3) Shares that are available to trade in the market.

[Reply](#)



25. *Gopi pillai* says:
[July 27, 2022 at 8:24 pm](#)

I strongly recommend creating hyperlinks like wiki do...especially for abbreviations and technical terms.

[Reply](#)



26. *Chandrapalan* says:
[June 13, 2022 at 5:19 pm](#)

Excellant example of Pressure cooker for this Upper/Lower circuit.

[Reply](#)



27. *Mayank Kansal* says:
[April 25, 2022 at 1:34 pm](#)

Hi,

In OFS, promoter dilutes THEIR stake & there is no issue of fresh capital for the company . Whatever the proceed will be from diluting the stake will belong to the promoter.
So how OFS help the company to raise the funds?

[Reply](#)



- o *Karthik Rangappa* says:
[April 25, 2022 at 8:25 pm](#)

OFS is basically an offer for sale, usually, its the company\'s promoters/shareholders offloading shares. So does not always lead to company raising funds.

[Reply](#)



28. *Ghafil Dehalvi* says:
[March 18, 2022 at 12:51 pm](#)

What about QIP ? Any reason that isn\'t mentioned

[Reply](#)



- o *Karthik Rangappa* says:
[March 19, 2022 at 8:00 am](#)

No particular reason, guess it was inadvertently omitted.

[Reply](#)



29. *Siddhesh* says:

[February 8, 2022 at 6:01 pm](#)

I registered for the 12th February 2022 Quiz which was posted on the Zerodha Varsity Instagram handle.

Will all the modules be tested or just this one or any other one specifically? I've started revising the modules, can you please clarify what will be tested so one can prepare accordingly?

Thank You.

[Reply](#)



o *Karthik Rangappa* says:

[February 8, 2022 at 8:38 pm](#)

It spans across all the content on Varsity. Give it a try 😊

[Reply](#)



30. *Urvashi Mitro* says:

[November 5, 2021 at 2:19 am](#)

Thank you, this really helps as im so clueless
haha

[Reply](#)



o *Karthik Rangappa* says:

[November 5, 2021 at 10:06 am](#)

Good luck and happy learning 😊

[Reply](#)



31. *SHUBHAM* says:

[September 20, 2021 at 9:21 pm](#)

But why can't they simply sell in the stock market directly ? Why offer for sale? Why to even give a discount of Rs 1?

[Reply](#)



o *Karthik Rangappa* says:

[September 21, 2021 at 9:45 am](#)

SEBI has rules around promoters selling the stake, Shubham.

[Reply](#)



32. *Chandan* says:

[September 17, 2021 at 8:27 am](#)

Hello Sir,

When a Promoter sells shares of his company, does the promoter reinvest that money into the company as a loan or just decides to use it for his own personal use?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 17, 2021 at 7:55 pm](#)

Depends on the purpose of the sale 😊

[Reply](#)

33.  *shubham* says:
[September 17, 2021 at 1:49 am](#)

Why promoters go for Offer For Sale when they can sell the share directly in stock market from their zerodha kite app like retail investors sell? Why so much fancy drama?

[Reply](#)

- o  *Karthik Rangappa* says:
[September 17, 2021 at 7:38 am](#)

Promoters selling becomes a personal affair. They do this when the intention is to raise funds for the company.

[Reply](#)

34.  *Adhi* says:
[July 31, 2021 at 9:04 pm](#)

But nobody explained what FPO stands for...

[Reply](#)

35.  *Suhanshu* says:
[June 17, 2021 at 5:51 pm](#)

Hello Sir,

Why is a bonus more rewarding than a split?

[Reply](#)

- o  *Karthik Rangappa* says:
[June 17, 2021 at 8:24 pm](#)

Ah, actually maybe I should just take that back. They both are similar 😊

[Reply](#)

36.  *Suhanshu* says:
[June 15, 2021 at 4:59 pm](#)

Hello Sir,

A bonus essentially just dilutes the number of shares in the market by increasing the quantity of shares while reducing the price of each share by the appropriate amount correct?

A split reduces the face value of a share but eventually has the same result on the share price and share quantity.

Companies do this if their share price is very high and would like to create more liquidity in the market.

Why would a company choose a bonus from a split or vice versa?

[Reply](#)



- *Karthik Rangappa* says:
[June 15, 2021 at 7:59 pm](#)

Yes, that's correct. Bonus has a balance sheet impact – money goes from reserves to share capital. This is not the case with split. In the longer term, bonus probably is more rewarding to share holders.

[Reply](#)



37. *Shubam* says:

[June 15, 2021 at 4:55 pm](#)

Hello Sir,

- 1) When a company announces a rights issue are they providing the payment from their reserves or surplus?
- 2) Now that the company rights are traded in the market, If I were to purchase said rights from the market, could essentially profit by purchasing rights at a lower price while the CMP is substantially higher?

[Reply](#)



- *Karthik Rangappa* says:
[June 15, 2021 at 7:56 pm](#)

- 1) Usually from the reserves
- 2) Yes

[Reply](#)



38. *Ketan* says:

[May 10, 2021 at 2:55 pm](#)

Hello Sir,

Lets say a company X has a promoter holding of 30% and the rest is with DII/FII. What happens to said promoter holding in the following scenarios?

- 1) Buyback promoter holding increases correct?
- 2) Rights??
- 3) ESOPS??
- 4) Bonus??

[Reply](#)



- *Karthik Rangappa* says:
[May 10, 2021 at 8:35 pm](#)

All of this depends on the company's capital structure. Fresh capital can be raised by inducing new equity as well.

[Reply](#)

39.  *Priyanka* says:
[April 27, 2021 at 6:35 pm](#)

Its was little hard to understand need more examples in simple manner.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 27, 2021 at 10:27 pm](#)

Ok, will try to add.

[Reply](#)

40.  *Megh Bhatele* says:
[April 17, 2021 at 3:20 pm](#)

Great content!

[Reply](#)

- o  *Karthik Rangappa* says:
[April 18, 2021 at 8:02 am](#)

Happy learning!

[Reply](#)

41.  *avadh* says:
[March 9, 2021 at 11:12 am](#)

If a company releases new shares in the market from its own corpus of shares(without increasing Authorised shares), then how could it affect percent of ownership of existing shareholders? Is not it is a simple transfer of some percentage of ownership of company to new shareholder?please clear it with a example. Thanks.

[Reply](#)

- o  *Karthik Rangappa* says:
[March 9, 2021 at 12:13 pm](#)

It could be a promoter offloading shares right?

[Reply](#)

42.  *avadh* says:
[March 6, 2021 at 4:07 pm](#)

Is during dilution of shares, there is necessarily increase in authorised share of the company?

[Reply](#)

- o  *Karthik Rangappa* says:
[March 7, 2021 at 9:20 am](#)

Not really.

[Reply](#)

43.  *Sivakumar J* says:
[December 27, 2020 at 2:44 pm](#)

Hey Karthik,

Excellent efforts..

Do you think it's appropriate to discuss about QIP along with these topics.

[Reply](#)

- o  *Karthik Rangappa* says:
[December 27, 2020 at 4:01 pm](#)

QIPs are usually for institutional players. Dont think Retail can participate in QIPs yet.

[Reply](#)

44.  *Ajay Kumar Sharma* says:
[December 20, 2020 at 12:44 pm](#)

Could you please explain Cashing out of Early Investors.....

[Reply](#)

- o  *Karthik Rangappa* says:
[December 20, 2020 at 9:20 pm](#)

This means that the early investors book out profits by selling off the stock.

[Reply](#)

45.  *Pradeep* says:
[September 21, 2020 at 6:11 pm](#)

Dont you update data and information etc of topics on regular basis.when you have last updated.plz let me know kindly.reply awaited

[Reply](#)

46.  *Parth Shah* says:
[September 10, 2020 at 3:55 pm](#)

Dear Karthik,

First of all thank you so much for providing the material in very systemic way.

i have few queries

1. what do you mean by \"Shares can be diluted and fresh shares can be created and offered in an FPO\". for introducing new share in FPO does company have extra unallocated share?
2. What are the circuit restrictions for the non f&o stock.

Thanks and Regards

[Reply](#)

- o  *Karthik Rangappa* says:
[September 10, 2020 at 10:51 pm](#)

- 1) Yes, unallocated shares which are newly issued
- 2) Depends on the stock's liquidity and volatility

[Reply](#)

47.  *Tushar Mittal* says:
[August 29, 2020 at 2:58 pm](#)

Sir, I heard about OFS is that, \"company sold its shares to the intermediary and then the intermediary sold that shares at a price higher than that company sold to them.\"....Is it true? sr.....

.....

Sr, I have an another question about ASBA portal..what it is??

[Reply](#)

- o  *Karthik Rangappa* says:
[August 29, 2020 at 7:36 pm](#)

Hmm, this could be a modality. Not sure which company you are talking about here. ASBA is a facility through you transact in an IPO. Do check this –
<https://support.zerodha.com/category/trading-and-markets/corporate-actions/articles/what-is-asba>

[Reply](#)

48.  *Spk* says:
[August 29, 2020 at 12:59 am](#)

Excellent content. Thanks for all your efforts.

Could you please clarify these?

1) \"An OFS is used to offload the shares of Promoters while an FPO is used to fund new project.\" OFS also is a fund raising activity isn't it ? OFS also offloads promoter shares right?

2) \"Dilution of shares is allowed in an FPO leading to change in Shareholding structure while OFS does not affect the number of authorized shares.\"

What does it mean when you say it doesnt affect authorized shares?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 29, 2020 at 9:59 am](#)

1) Yes

2) In FPO, new shares are introduced, but in OFS, the existing shares are sold, hence there is no dilution.

[Reply](#)

49.  *Rishi Ganguly* says:
[August 25, 2020 at 12:56 pm](#)

Ok. That makes sense. Thanks a lot.

[Reply](#)

- o  *Karthik Rangappa* says:
[August 25, 2020 at 9:30 pm](#)

Happy trading!

[Reply](#)

50.  *Rishi Ganguly* says:
[August 25, 2020 at 2:54 am](#)

So it is mentioned that on order to take the FPO route the shares need to be diluted so that fresh shares are published. How exactly does one happen to dilute their shares?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 25, 2020 at 10:22 am](#)

Assume you have 100% of shares, you give 10% to an external investor against some funds, then you are said to dilute the shares to the extent of 10%.

[Reply](#)

51.  *Shashank Pendyala* says:
[August 23, 2020 at 12:22 am](#)

Hi,

Few questions-

1. For Rights issue, you mentioned previously held share value is diluted. When Reliance announced rights issue, the share value didn't dilute moreover market was bullish leading to increased value. So I didn't understand why share value would be diluted?
2. For OFS, is there any cut off price above floor price for the bids? Like IPO/FPO, where we have price band to quote the value.
3. What do you mean when you say dilution of shares in FPO? Dilution of shares happen only in stock split right?
4. In case of OFS, shares made public should be exclusively held by Promoters whereas for FPO, the shares offered to public can be from Promoters/organization shares (which doesn't belong to anyone) etc. right?

[Reply](#)

- o  *Karthik Rangappa* says:
[August 23, 2020 at 9:16 am](#)

- 1) I think there was a dilution of 7% equity. You may want to re check this
- 2) OFS is usually a fixed price
- 3) Dilution happens when new shares are issued
- 4) OFS can also include shares from large existing share holders.

[Reply](#)

52.  *roopam* says:
[August 21, 2020 at 2:36 pm](#)

there is one question irking me regarding bonus
 so if a company announces 1:2(one share for every two shares held), then how will a person holding a single share be rewarded
 and there is some issue, I am not receiving mail for the answers which you feed. I have checked inbox junk as well as trash
 thank you

[Reply](#)

- o  *Karthik Rangappa* says:

[August 21, 2020 at 8:05 pm](#)

The one share guy will be compensated in cash on a pro rata basis. Btw, there is no email notification for responses. You will have to manually check for the response, I know it not the most user friendly way, but there is int much we can do as the notifications soon turn to spam as more comments pour in.

[Reply](#)

53.  *Vivek Kaplingat* says:

[July 31, 2020 at 4:18 pm](#)

Is it purely because of the lengthy documentation process that FPOs are not widely used? On the contrary, if applying for an OFS is allowed only if the promoters want to reduce their holding/the company needs a min public shareholding, then how is OFS more popular than FPO? Most companies applying for an OFS may be doing it just for the sake of creating more capital, right? Why is OFS more popular?

[Reply](#)

- o  *Karthik Rangappa* says:

[July 31, 2020 at 8:00 pm](#)

Perhaps, OFS is a simpler process since it deals with existing shareholders and not new ones. Yes, OFS is to raise capital.

[Reply](#)

54.  *Niku* says:

[July 23, 2020 at 7:14 pm](#)

Sir With respect to concept of Ex Div date and record date in conjunction

Scenario 1: 11th I buy stock, 11th is Ex Div date and 12th is record date = Am I eligible for dividend
As stock is deducted from seller account and is with broker for credit to buyer, is broker receives dividend if not buyer or seller.

Scenario 2: 11th I buy stock, 11th is Ex Div date and 13th is record date = Am I eligible for dividend.

Here buy means buy date, but settlement of shares occurs on T+2 , So I am not holding share in my demat account on buy date.

Scenario 3: 10th I buy stock, 11th is Ex Div date and 12th is record date = Am I eligible for dividend.

Scenario 4: 12th I buy stock, 11th is Ex Div date and 13th is record date = Am I eligible for dividend.

Scenario 5: 10th I buy stock, 11th is Ex Div date and 12th is record date = Am I eligible for dividend.

can you tell me in above scenarios what happens.

[Reply](#)

- o  *Karthik Rangappa* says:

[July 23, 2020 at 10:08 pm](#)

- 1) No
- 2) No
- 3) Yes
- 4) No
- 5) Yes

[Reply](#)

55.  *Rakesh Gusain* says:
[July 22, 2020 at 7:37 pm](#)

Hello sir. I would like to know about right issue, why reliance right issue listed on exchange separately & price also not decreases and other side M&M finance share price reduces after right issue and not listed separately... Hope for your kind reply..

[Reply](#)

- o  *Karthik Rangappa* says:
[July 22, 2020 at 9:43 pm](#)

Rakesh, I'm really not sure why RIL did this and M&M did not:)

[Reply](#)

56.  *Amit* says:
[July 20, 2020 at 1:17 pm](#)

And sir if I do get eligible, how will I be able to access that rights issue?
Is there any kind of window or something on the terminal?
P.S. I use Zerodha's Kite.

[Reply](#)

- o  *Karthik Rangappa* says:
[July 20, 2020 at 8:37 pm](#)

Yes, look for the corporate action window in Console.

[Reply](#)

57.  *Amit* says:
[July 20, 2020 at 8:24 am](#)

Dear sir,
M&M has announced rights issue to the ratio of one share per one share held.

The board has fixed the record date for the purpose of determining the shareholders of the company who will be eligible to receive rights entitlements in the issue, as of July 23.

Today is July 20. If I buy shares today, they will be in my demat account by July 22.

So will I be eligible for rights issue?

[Reply](#)

- o  *Karthik Rangappa* says:
[July 20, 2020 at 10:37 am](#)

You will get it by 22nd evening. Technically you should be eligible, but its a touch and go kind of situation.

[Reply](#)

58.  *Sumit Gujar* says:
[July 16, 2020 at 5:23 pm](#)

What will happen if FPO is not fully subscribed?

[Reply](#)



- o *Karthik Rangappa* says:
[July 16, 2020 at 8:18 pm](#)

Its just that the promoters won't get the funds they intended to raise.

[Reply](#)



59. *Ashok kumar S* says:
[July 16, 2020 at 9:41 am](#)

Hi,

Can you please explain FPO process little more with example.

Lets take an example of YES bank. I am seeing bid price range is 12 to 13.

What happens if i bid share price as 12 ?

what happens if i bid share prices as 13 cutoff price?

Please explain in detail.

Regards

Ashok S

[Reply](#)



- o *Karthik Rangappa* says:
[July 16, 2020 at 11:44 am](#)

This is similar to IPO, chances for getting allotted is higher at the higher end of the bid.

[Reply](#)



60. *Sanjeev* says:
[July 13, 2020 at 12:59 pm](#)

Not enough idea about how FPO is traded in markets, its just a question for clarification.

Coming to YES Bank FPO, current market price of Yes Bank is around Rs.25. FPO is offering at Rs.12/13. Will this affect the value of the share for existing investors who brought at higher rates. Is it loss to existing investors.

Ex: Assuming my current average buy price of this share is Rs.40, market price is today is Rs.25. I am at loss of Rs.15 per share.

[Reply](#)



- o *Karthik Rangappa* says:
[July 13, 2020 at 8:18 pm](#)

No, it is just that you get to buy it at a lower price at a time when the stock is trading at a higher price in the market.

[Reply](#)



61. *Aniruddha Chourasia* says:
[May 27, 2020 at 1:00 pm](#)

Hi Karthik,

Here you wrote the cut-off price is the price decided after the book building process and within the IPO chapter you told me cut-off price is the upper price of the price band so what exactly is cut-off price?

[Reply](#)

- o  *Karthik Rangappa* says:
[May 27, 2020 at 9:24 pm](#)

Ah, sorry if I confused you. It is the price at which the shares will be issued, if the stock is oversubscribed, it is usually at the upper end of the price band.

[Reply](#)

62.  *Aniruddha Chourasia* says:
[May 27, 2020 at 12:50 pm](#)

Asking this just to confirm! The face value of a share decreases after Rights issue, right?

[Reply](#)

- o  *Karthik Rangappa* says:
[May 27, 2020 at 9:18 pm](#)

No, the rights issue has no impact on face value. Stock splits do.

[Reply](#)

63.  *Ashwani* says:
[May 9, 2020 at 7:19 pm](#)

sir
how can we claim a very old debenture(say 20 years old) of a company /communicate to company .
thanking you

[Reply](#)

- o  *Karthik Rangappa* says:
[May 9, 2020 at 7:28 pm](#)

Hmm, I'm not sure. Please do get in touch with the company directly for this.

[Reply](#)

64.  *Satheesh* says:
[December 24, 2019 at 1:05 pm](#)

Thanks Zerodha for excellent effort and your contribution.
Can you please provide some light on Valuation of company after Rights issue or OFS options.

[Reply](#)

- o  *Karthik Rangappa* says:
[December 26, 2019 at 9:06 am](#)

Thats an interesting topic, will try and put up something on these lines.

[Reply](#)

65.  *Abhishek* says:
[November 30, 2019 at 8:27 pm](#)

Hi Sir,

Could you also explain the difference between Direct listing & IPO? for ex; Spotify opted for direct listing.

[Reply](#)



- o *Karthik Rangappa* says:
[December 1, 2019 at 9:55 am](#)

I think this explains the difference quite well –

<https://www.investopedia.com/investing/difference-between-ipo-and-direct-listing/>

[Reply](#)



66. *Vd* says:

[November 6, 2019 at 3:02 pm](#)

I have been looking forward to understand the basics for a long time and have gone through various videos on youtube. One of my friend recommended Zerodha Varsity and I must acknowledge, the content is simply fab. It is indeed explained in a manner that any layman can understand the basics and enter the market. Thanks to entire Zerodha team for putting this together and helping people like me take the steps.

[Reply](#)



- o *Karthik Rangappa* says:
[November 7, 2019 at 11:29 am](#)

Thanks for the kind words, VD! Happy reading 😊

[Reply](#)



67. *Mani* says:

[October 31, 2019 at 11:40 pm](#)

Thank you sir.



68. *Mani* says:

[October 23, 2019 at 9:06 am](#)

what is NISM series 8 examination?

[Reply](#)



- o *Karthik Rangappa* says:
[October 23, 2019 at 4:20 pm](#)

If you want to work for a broker as a dealer, then you need to give the NISM series 8 exams.

[Reply](#)



69. *krutuparna* says:

[October 15, 2019 at 1:32 pm](#)

few thing are missing from the pdf version (ex: upper circuit/lower circuit) of this module,also page numbering is also not proper.

[Reply](#)

- o  *Karthik Rangappa* says:
[October 16, 2019 at 11:42 am](#)

Will check this again. Thanks.

[Reply](#)

70.  *SSS* says:
[September 30, 2019 at 7:21 pm](#)

Hello Karthick,

Can you please provide me some clearance about Short Selling. I know we can go Short in Interday and in F&O but I need to know whether there is an option available to Sell now and buy back the shares later. For Example, I like to sell Yesbank Shares now and buy back them after few months, This is possible if I rent the shares and give back with a premium, but I am not sure how to implement this with broker. When I try to sell them without buy, the message I get is 'I don't have Yes bank shares in my demat'.

Thanks

[Reply](#)

- o  *Karthik Rangappa* says:
[October 1, 2019 at 3:23 pm](#)

That's right. The only option is to short the futures and roll the position forward.

[Reply](#)

71.  *Niraj Singh* says:
[September 30, 2019 at 12:06 pm](#)

What is V-Wap trade, Over the day trade, Volume trade, Limit order, CD order & execution of this types of trades and criteria on various exchanges. Karthik plz help me out plz reply and i have a interview based on this question

[Reply](#)

- o  *Karthik Rangappa* says:
[October 1, 2019 at 3:18 pm](#)

Niraj, have explained all these and more across various chapters, suggest you read through them. Good luck with your interview.

[Reply](#)

72.  *Kartheek* says:
[August 31, 2019 at 4:29 pm](#)

Hi Karthik,

As FPO is about issuing fresh shares, how will they issue without reducing the promoters shares? If they do then it will be like OFS only. Once they issue within the existing shares, is it like stock split? How exactly they can FPO without reducing the existing ones? Please explain

[Reply](#)

- o  *Karthik Rangappa* says:
[September 1, 2019 at 9:12 am](#)

FPO dilutes the shareholding of existing shareholders. The stock split is different when you look at it from a balance sheet perspective.

[Reply](#)

73.  *venu diddi* says:
[August 11, 2019 at 11:02 pm](#)

Thanks to the team Zerodha . Very useful info and i have been using the zerodha account from last 2 years but never been through this content. Thanks so much.

[Reply](#)

- o  *Karthik Rangappa* says:
[August 12, 2019 at 10:59 am](#)

Glad you like the content, Venu. Happy reading.

[Reply](#)

74. ✖ ✖ *Parth* says:
[August 2, 2019 at 12:26 am](#)

I am not able to understand much about OFS and FPO. Will it be covered in further modules? And I have some in-general doubts regarding trading. I am student and will be starting a job in 6 months. So, will I be able to earn more by following guidelines and learning the modules or it also depends more on luck factor. Earlier, I had lost much money on crypto-currency because I did not have any knowledge and was trading on random people's guidelines. Hoping to learn some good techniques in this modules and earn like professionals.

[Reply](#)

- o  *Karthik Rangappa* says:
[August 2, 2019 at 5:41 pm](#)

No more modules on FPO and OFS. Is there anything, in particular, you did not understand, I will be happy to explain. Good luck for your job and happy reading 😊

[Reply](#)

75.  *S. Gupta* says:
[July 26, 2019 at 11:32 am](#)

Hi,

I hold a zerodha account and am planning to move to US for work. As of now, I don't know how long I will be there – a year or a few years. Hence, I want to know :

1. if I can continue holding the zerodha account in India . Is there a time limit?
2. Can I remit money from US to my Indian bank account and keep trading in my zerodha account?

I wasn't sure under which topic to put the query, hence asking here.
Thanks for your help!

Regards

[Reply](#)

- o  *Karthik Rangappa* says:
[July 26, 2019 at 2:28 pm](#)

The onus of getting his residential status changed vests on the client. If you become an NRI, you have to inform us and trade through PIS. Otherwise, yes, you can continue to hold the account. Yes, you can remit the money to your local bank account and continue to trade with us (as long as his residential status doesn't change). We just need to receive money from the mapped account.

[Reply](#)

76.  *Hebakalam* says:
[June 16, 2019 at 11:39 am](#)

Thanks!!! I learned many new thngs

[Reply](#)

- o  *Karthik Rangappa* says:
[June 17, 2019 at 10:22 am](#)

Happy learning!

[Reply](#)

77.  *Puneet tandon* says:
[May 10, 2019 at 2:49 pm](#)

Excellant explanation of concepts!!!

[Reply](#)

- o  *Karthik Rangappa* says:
[May 11, 2019 at 9:41 am](#)

Good luck and happy reading 😊

[Reply](#)

78.  *Divesh* says:
[April 27, 2019 at 6:36 pm](#)

Hi,

When a company decides to raise money through OFS or Right issues, shares offered are from company's reserved authorised shares or from promoters share holding stakes?

[Reply](#)

- o  *Karthik Rangappa* says:
[April 28, 2019 at 10:36 am](#)

Divesh, the shares can come from either...but mainly the reserved shares.

[Reply](#)

-  *Divesh* says:

[April 29, 2019 at 11:18 am](#)

So, do companies declare from where they are allotting shares? Because if promoters are offering their own shares, then isn't it a negative sign and shouldn't the buyer be aware of it?

[Reply](#)

-  *Karthik Rangappa* says:
[April 29, 2019 at 12:38 pm](#)

Yes, they have to do this.

[Reply](#)

79.  *Vibhu Agarwal* says:
[April 23, 2019 at 12:54 pm](#)

Nice concept by zerodha.. but please also help us to understand commodities better

[Reply](#)

-  *Karthik Rangappa* says:
[April 24, 2019 at 3:59 pm](#)

There is an entire module on commodities, Vibhu –
<https://zerodha.com/varsity/module/commodities-currency-government-securities/>

[Reply](#)

-  *Vibhu Agarwal* says:
[April 25, 2019 at 5:24 pm](#)

Thank you...
Sorry I didn't notice that

[Reply](#)

-  *Karthik Rangappa* says:
[April 26, 2019 at 12:36 pm](#)

Good luck!

[Reply](#)

80.  *Jatin* says:
[March 29, 2019 at 11:13 am](#)

Thanks

[Reply](#)

81.  *Amine* says:
[March 20, 2019 at 1:06 pm](#)

Clear and concise, thank you !

[Reply](#)

-  *Karthik Rangappa* says:

[March 21, 2019 at 10:02 am](#)

Cheers!

[Reply](#)

82.  *Dhiraj Chandra* says:
[March 8, 2019 at 4:05 am](#)

Best material to begin with and proceed to expert level in the field of stock market .

[Reply](#)

- o  *Karthik Rangappa* says:
[March 8, 2019 at 11:56 am](#)

Thanks, Dhiraj! Happy reading 😊

[Reply](#)

83.  *shreyansh* says:
[January 31, 2019 at 4:52 pm](#)

I just completed first module. Can't wait to start the next one. I'm sure it'll help me to be an smart investor, rather just following stupid suggestions on TV and other so called investors.

[Reply](#)

- o  *Karthik Rangappa* says:
[February 1, 2019 at 8:51 am](#)

I hope you get all the info, Shreyansh 😊
Good luck!

[Reply](#)

84.  *Abhay* says:
[January 29, 2019 at 8:47 am](#)

Sir,
First of all let me appreciate you and the entire team of Zerodha for this splendid initiative.
I want to know more about futures and options market. Which chapter deals with that topic?
(I'm very new to stock market and is trying to make an understanding of the same)

[Reply](#)

- o  *Karthik Rangappa* says:
[January 29, 2019 at 11:19 am](#)

Abhay, module 4 deals with Futures, 5 & 6 deals with Options.

[Reply](#)

85.  *Aman yadav* says:
[January 27, 2019 at 10:34 pm](#)

Thank you varsity for this highly valuable information. Lately i have been researching on stock market and this is the best resource i have stumbled upon. 😊

[Reply](#)

- o  *Karthik Rangappa* says:
[January 28, 2019 at 11:58 am](#)

Happy to note that, Aman! Good luck and keep going!

[Reply](#)

86.  *jogendra desai* says:
[January 10, 2019 at 11:02 am](#)

Hi ! Karthik . wish you happy and prosperous new year 2019.
would like to have full knowledge on option and futures derivatives.
i am member of zerodha & would like to trend in the market please help me.

[Reply](#)

- o  *Karthik Rangappa* says:
[January 11, 2019 at 10:53 am](#)

Happy new year to you as well 😊

We have the content around this already – <https://zerodha.com/varsity/module/futures-trading/>
and <https://zerodha.com/varsity/module/option-theory/>

[Reply](#)

87.  *Ankush Pundkar* says:
[January 10, 2019 at 7:13 am](#)

From last 8 months I m reading chapters publish with varsity zerodha and feeling like studying basics.
The language pattern which is used is very clear to grasp easily. Efforts made to cover every part of
basics are really good. It shows that zerodha wants to provide typical investors and traders to the stock
market. Thank you.

[Reply](#)

- o  *Karthik Rangappa* says:
[January 10, 2019 at 9:10 am](#)

Glad you liked the content, Ankush! Happy reading 😊

[Reply](#)

88.  *Rajan* says:
[January 7, 2019 at 12:44 pm](#)

Hi Karthik sir,
I have a query regarding the material.
Is it necessary to stick with the order in which the modules are there
I mean I've completed 1st module now, should i stick with the order (next chap is TA)
or can i start with FA(3rd module) ?
and Thank you for the material to Karthik sir and team.

[Reply](#)

- o  *Karthik Rangappa* says:
[January 8, 2019 at 11:14 am](#)

The module order is not really required, Rajan. You can move to any module that interests you. All modules assume you are starting fresh and takes you through from basics. Good luck.

[Reply](#)

89.  *Hemant kumar* says:
[December 27, 2018 at 11:07 am](#)

Firstly, I would say thank you so much sir for sharing your knowledge and also thanks to zerodha for such a great initiative step taken by them.

For a long time, I was searching systematic process of knowledge and content which could cover basics of stock market for beginners.

In first module i learned many new thing and i think remaining module will also help a lot to learn and explore stock market knowledge with zerodha. once again thanks sir....

[Reply](#)

o  *Karthik Rangappa* says:
[December 27, 2018 at 12:23 pm](#)

Happy to note that, Hemant!

Good luck and hope you will continue to enjoy reading Varsity 😊

[Reply](#)

90.  *Ravi* says:
[November 29, 2018 at 6:38 pm](#)

Hi sir,

I truly thank you for sharing the knowledge and this module helps a lot, where u always try to keep the things practical. I want to know can a normal person like me having reasonable knowledge can earn 5k daily by investing, i am not asking guarantee just i want to know. Thanks in advance. 😊

[Reply](#)

o  *Karthik Rangappa* says:
[November 30, 2018 at 11:15 am](#)

Ravi, I have seen very few people who can consistently do that. It may be possible, but requires a lot of practice and discipline.

[Reply](#)

91.  *Venkatesh Prasad* says:
[November 28, 2018 at 8:06 pm](#)

Mr. Karthik Rangappa,

Firstly let me complement you on the series of articles which explains complex things in a manner that a novice can understand and actually start to get interested in investing. Great Job, Sir.

Would be great if you can similarly discuss about the role of analytics in decision making w.r.t understanding whether its a good mutual fund to invest or not. We see analytics like Cumulative Return, Annualized Return, Standard Deviation, Sharpe Ratio, Jensen Alpha, Beta, Tracking Error, Information Ratio, etc. and how these numbers corresponding to a mutual fund should be interpreted.

Also there is the Returns based Style Analysis (RBSA) which is useful to understand the Manager's Style and if explained in a manner how Style Maps and Asset Allocation output of RBSA needs to be interpreted, it would be great.

Looking forward to your response to the above,

Thanks & Regards

Venkatesh Prasad B.K.

[Reply](#)



- o *Karthik Rangappa* says:
[November 29, 2018 at 12:03 pm](#)

Venkatesh, I'm glad you liked the contents in Varsity. A module on MFs is long overdue. I will write about all these factors and more in that module 😊

[Reply](#)



92. *Sanjeet* says:
[November 4, 2018 at 11:18 pm](#)

It's very useful for beginners.

[Reply](#)



- o *Karthik Rangappa* says:
[November 5, 2018 at 11:29 am](#)

Good luck.

[Reply](#)



93. *Divakar* says:
[September 11, 2018 at 10:58 am](#)

Hello Karthik,

Appreciate your efforts in sharing the knowledge in a crisp and constructive way. I have visited several websites and blogs, where we get only partial information. Varsity is the only place where all aspects are covered in detail and easy to understand even if the person is not having any finance background. Is there any plan to cover Volatility based trading aspects in the near future ?

[Reply](#)



- o *Karthik Rangappa* says:
[September 11, 2018 at 2:42 pm](#)

Thanks for the kind words, Divakar. Yes, I do plan to write about it in this module – <https://zerodha.com/varsity/module/trading-systems/>

[Reply](#)



94. *Vinod Narayan* says:
[September 3, 2018 at 12:22 pm](#)

I am a newbie to stock market and completed Module 1. I find the contents crisp with detailed examples. I want to dig deeper.

[Reply](#)

- o  *Karthik Rangappa* says:
[September 3, 2018 at 6:49 pm](#)

Happy to note that, Vinod. Suggest you read through the remaining modules as well.

[Reply](#)

95.  *Ayush Agarwal* says:
[August 19, 2018 at 2:51 pm](#)

Great Content !

Thank you for this 😊

[Reply](#)

- o  *Karthik Rangappa* says:
[August 20, 2018 at 11:25 am](#)

Happy learning, Ayush 😊

[Reply](#)

96.  *Shashwat Bansal* says:
[July 31, 2018 at 1:12 am](#)

What a great module it is!

[Reply](#)

- o  *Karthik Rangappa* says:
[July 31, 2018 at 11:38 am](#)

Happy learning, Shashwat!

[Reply](#)

97.  *Chanu* says:
[July 26, 2018 at 11:35 am](#)

what is the difference when the same stock is shown in NSE & BSE. Currently, I was watching JMTA Share and It was showing 4.60rs in BSE & 4.65rs In NSE? Why is this so?
time 11:34am

<https://www.moneycontrol.com/india/stockpricequote/auto-ancillaries/jmtauto/JMT02>

[Reply](#)

- o  *Karthik Rangappa* says:
[July 26, 2018 at 3:12 pm](#)

These are two different markets, so sometimes such small difference can occur.

[Reply](#)

-  *Chanu* says:
[July 27, 2018 at 4:13 pm](#)

so if I purchase a share in Zerodha trading a/c, in which exchange did zerodha places order? (please correct me if i m wrong, i m in learning stage) thanks for solving doubt.

[Reply](#)

-  *Karthik Rangappa* says:
[July 28, 2018 at 8:52 am](#)

You can choose the exchange that you'd want. If you dont, then the orders are sent to NSE.

[Reply](#)

98.  *Chanu* says:
[July 26, 2018 at 10:07 am](#)

Please tell about Margin On Zerodha. I m unable to find detail on it. What is the requirement to get Margin on Zerodha and all other information? Please Reply with detail and link if possible. Thank You

[Reply](#)

-  *Faisal Mohammed* says:
[July 26, 2018 at 10:33 am](#)

This post covers all details about our margins. Check the margin calculator to calculate intraday, F&O, Commodity margins

[Reply](#)

-  *Karthik Rangappa* says:
[July 26, 2018 at 3:02 pm](#)

I'd suggest you read our margin policies here – <https://zerodha.com/z-connect/tradezerodha/margin-requirements/zerodha-margin-policies>. Thanks.

[Reply](#)

99.  *Shrikanth* says:
[July 25, 2018 at 7:29 pm](#)

Sir,read the pdf there awesome,do zerodha have teaching classes or institutes in bangalore?.if,plz send the adress

[Reply](#)

-  *Karthik Rangappa* says:
[July 26, 2018 at 2:45 pm](#)

Thanks, Shrikanth. No, we don't conduct classes. Once in a way, we do free workshops, you can keep a tab here – <https://zerodha.com/educate/>

[Reply](#)

100.  *hitesh mittal* says:
[July 24, 2018 at 5:54 pm](#)

sir , thanks for your wonderful work on varsity .
i wanted to know the reaction of the stock when there are either only buyers or only sellers for a stock.

[Reply](#)

- o  *Karthik Rangappa* says:
[July 25, 2018 at 11:03 am](#)

In that case, the stock hits the upper or lower circuit levels.

[Reply](#)

101.  *Hitesh* says:
[July 18, 2018 at 10:56 pm](#)

Hi Karthik

I am thinking to build a personal stock screener from where real-time stock price data gets fetched into excel sheet automatically. And then using SQL to extract data out of it by using certain filters. Can you please help me with the link/website from where I can get real-time data.

Thanks

[Reply](#)

- o  *Karthik Rangappa* says:
[July 19, 2018 at 10:47 am](#)

Hitesh, I'd suggest you check the API documentation here – <https://kite.trade/docs/connect/v3/>

[Reply](#)

102.  *Arun* says:
[July 12, 2018 at 11:24 pm](#)

Dear karthik,

“A rights issue leads to creation of new shares that are offered to the shareholders, which in turn, dilutes the value of the previous held shares.”. Can u plz karthik explain the meaning of above line.

Thanks

[Reply](#)

- o  *Karthik Rangappa* says:
[July 13, 2018 at 12:34 pm](#)

Consider this – there are 10 shares before the rights issue and the PAT is 1. The earning per share is 10% (1/10). Now post rights issue, the number of shares increase to 12, but the PAT remains at 1. The new EPS is reduced to 8.33%. Hence dilution.

[Reply](#)

103.  *Hitesh* says:
[June 18, 2018 at 10:07 pm](#)

Firstly, let me thank you for the wonderful idea & intent behind “Varsity”.

The content is presented with such an ease for learning that nothing looks like a jargon. All read so far only inspires further learning.....!

Secondly, regarding trading on kite, request you to review the possibility and work to integrate the margin calculators with kite so that margins can be seen along selected stocks respectively. That would be a big value addition to kite!

Regards
Hitesh

[Reply](#)

-  *Karthik Rangappa* says:
[June 19, 2018 at 11:22 am](#)

Thanks for the kind words, Hitesh.

Btw, the margin calculator bit is on the list of things to do. We will do that sometime soon.
Thanks.

[Reply](#)

104.  *AJAY GUPTA* says:
[June 16, 2018 at 1:07 pm](#)

Excellent content. Great for a beginner.
Thanks

[Reply](#)

-  *Karthik Rangappa* says:
[June 17, 2018 at 9:46 am](#)

Glad you liked it, Ajay!
Keep learning 😊

[Reply](#)

105.  *shashi* says:
[May 23, 2018 at 11:44 pm](#)

Thanks for providing here such precious information in an organised manner. It is easier to understand the topics here on varsity than from any other website.

[Reply](#)

-  *Karthik Rangappa* says:
[May 24, 2018 at 11:26 am](#)

Glad to know that, Sashi 😊
Happy reading.

[Reply](#)

106.  *niharika rajput* says:
[May 12, 2018 at 8:55 pm](#)

I was really exhausted in finding a fully furnished course to learn share market. I Really got tired finding a good material at one place. I am really thankful to varsity that they are providing this educational content FOC and I must say the ways of explaining things and the simplicity of language is really very good and helpful.

[Reply](#)

-  *Karthik Rangappa* says:
[May 13, 2018 at 11:33 am](#)

Happy to note that 😊
Keep learning!

[Reply](#)

107.  *Hemant Chaturvedi* says:
[May 8, 2018 at 11:50 am](#)

I completed the first module and 2nd (TA) is in line.
Notes are great and easy to understand, illustrated by real examples.
I would like to suggest why not Zerodha makes a system and certify the registrants who complete(reading) all the modules.
Many people including finance students like me would be happy to get certified through this platform and they can also be converted as a customer of Zerodha.
Just a thought.
Thanks for the notes.
Hemant Chaturvedi

[Reply](#)

o  *Karthik Rangappa* says:
[May 9, 2018 at 11:00 am](#)

Thanks for the suggestion, Hemant. In fact, we are working on something on these lines 😊

[Reply](#)

■  *Siddharth* says:
[July 19, 2018 at 5:30 pm](#)

So what's the progress in this, Sir?

[Reply](#)

■  *Karthik Rangappa* says:
[July 20, 2018 at 12:22 pm](#)

Progress on what, Siddharth?

[Reply](#)

108.  *abhishek* says:
[April 24, 2018 at 8:32 am](#)

Lets say I hold 1fut contract(LS=400) of xyz ltd.(price = 1000/share) and this company falls under physical settlement according to SEDI circular released recently. After i exited my position i made a profit of say 1500.

now how will this be physically settled? I will get 1 share of the underlining @1000 but what will happen to Rs 500 that is left out?

[Reply](#)

o  *Faisal Mohammed* says:
[April 24, 2018 at 10:43 am](#)

Abhishek, since you closed the position, there will be no physical delivery. Physical delivery will only occur if you continue to hold the contract until expiry

[Reply](#)

- o  *Karthik Rangappa* says:
[April 24, 2018 at 11:15 am](#)

If you have squared off the position before expiry, then this will be cash settled.

[Reply](#)

109.  *Ishan Choubey* says:
[March 31, 2018 at 5:33 pm](#)

also assume that my friend which is selling the stock already has some shares of this compny.

[Reply](#)

- o  *Karthik Rangappa* says:
[April 2, 2018 at 11:55 am](#)

Replied to your previous comment.

[Reply](#)

110.  *Ishan Choubey* says:
[March 31, 2018 at 5:27 pm](#)

Hello Karthik,

I have a ques relating to UC,

Suppose XYZ stock is trading at Rs. 200 a share and i purchased 1000 shares, Now i want to profit from this by trying to manipulate the stock , so i decided to buy just one share the next day after market opens (assume the opening price as 200), i placed an buy order of just 1 share for Rs. 210 and i asked my friend to place to place an sell order of just 1 share at Rs. 210.

what do you think will happen,

will my order go through and match my friends order and will the price jump to 210,

i mean is it possible to manipulate the stock with this case.

[Reply](#)

- o  *Ishan Choubey* says:
[March 31, 2018 at 5:33 pm](#)

also assume that my friend which is selling the stock already has some shares of this compny.

[Reply](#)

- o  *Ishan Choubey* says:
[March 31, 2018 at 5:34 pm](#)

Stock also trades in the derivative segment so its free from UC boundations

[Reply](#)

- o  *Karthik Rangappa* says:
[April 2, 2018 at 11:54 am](#)

No, it does not work that way 😊

The order book works on price-time priority – always the best buy (the one willing to pay the highest price) matches with the best sell (one willing to sell at the lowest). Besides, there is also

an exchange surveillance system which keeps an eye out on all these orders trying to game the system.

[Reply](#)

111.  *Chandrajit* says:
[March 26, 2018 at 8:52 pm](#)

Hello,

I wanted to know what is public shareholding requirement? Does it vary company to company?

[Reply](#)

- o  *Karthik Rangappa* says:
[March 27, 2018 at 11:29 am](#)

No, I think at least 25% has to be held by the public for listed companies.

[Reply](#)

112.  *Kiran Shetty* says:
[March 3, 2018 at 1:38 pm](#)

I can't open the varsity pdf on adobe reader or any other files or else i get the popup to download the Dropbox to view the files can you please help me why it is not supporting on any other reader apart from Dropbox

[Reply](#)

- o  *Karthik Rangappa* says:
[March 4, 2018 at 8:56 am](#)

I'm not sure why, let me check with the team.

[Reply](#)

- o  *Faisal Mohammed* says:
[March 5, 2018 at 10:23 am](#)

Kiran, the PDF files seems to work fine. Can you tell me which module you are trying to download?

[Reply](#)

113.  *Vikas* says:
[February 22, 2018 at 5:02 pm](#)

Hi

Awesome content on stock market basics. It was very helpful to understand the terms and concepts of stock market. It was explained very well with great example. Thanks team zerodha.

I have one query regarding UC(upper circuit)

Since UC is fixed at max of 20%, how did some stock trade more than UC in a day? Recent example was RCOM in last week of Dec 2017 when it gained more than 35% in a single day . Another example is PNB which gained about 50% in Oct 2017 when FM announced more funds for PSU banks.

[Reply](#)

- o  [Faisal Mohammed](#) says:
[February 22, 2018 at 5:52 pm](#)

Vikas, stocks that trade in the derivative segment have no circuit limits. RCom, PSU banks are traded in the F&O segment

[Reply](#)

- o  [Karthik Rangappa](#) says:
[February 23, 2018 at 11:55 am](#)

Glad you liked the content, Vikas.

The circuit limits are not the same across all stocks. For example, Stock A can have a 20% limit and Stock B can have 10%. Also, stocks which have a derivative contract does not have any circuit limits at all (like PNB).

[Reply](#)

114.  [Vaibhav](#) says:
[February 17, 2018 at 12:56 am](#)

Hi Zerodha Team,

For a beginner like me, who did not even know the ABC of stock market, it looked like a cake walk. Though Learning every aspect in detail would be long & tough journey, the content has helped me to build the confidence that I can go ahead.

Thank you so much for the content & the beauty lies in the way it presented!

[Reply](#)

- o  [Karthik Rangappa](#) says:
[February 17, 2018 at 6:56 pm](#)

Glad you liked the content, Vaibhav. Happy learning 😊

[Reply](#)

115.  [Hardik Italiya](#) says:
[January 29, 2018 at 5:48 pm](#)

As I am a bigginer I can say it is vary good module. I have just one query. How does Bonus Issue, Stock- Split and Rights Issue affect the market

[Reply](#)

- o  [Faisal Mohammed](#) says:
[January 29, 2018 at 6:08 pm](#)

Hardik, Corporate Actions are already explained in this chapter.

[Reply](#)

116.  [R G Ratnawat](#) says:
[January 29, 2018 at 12:29 pm](#)

The content is relevant,adequate,and well structured. Kudos

[Reply](#)

- o  *Faisal Mohammed* says:
[January 29, 2018 at 12:35 pm](#)

Happy learning 😊

[Reply](#)

117.  *Anil dhiman* says:
[January 28, 2018 at 9:32 am](#)

Thanks

[Reply](#)

- o  *Faisal Mohammed* says:
[January 29, 2018 at 12:34 pm](#)

Happy learning 😊

[Reply](#)

118.  *Arun* says:
[January 18, 2018 at 5:59 pm](#)

Hi Karthik and the Zerodha Team,

I am feeling great to finish this unit without a lag, it was so interesting reading like a novel and a good flow of information. Congrats and keep up the good work! Also thank you for the quick response on my question.

I must say that you should publish this in a form of book with selected Q&A from the portal at end of every chapter, if it is not already done! And one more thing, well I understand your intention is knowledge sharing! but If you actually include an assessment (and certificate at the end of the course) every module, it would look more academic and motivating for many people to learn this. And will be big value add to the resume of people who may have no formal financial academic background (like me).

Once again thank you for such a wonderful effort and I am excited to start the next unit, I can't wait until tomorrow!

Arun

[Reply](#)

- o  *Karthik Rangappa* says:
[January 19, 2018 at 11:14 am](#)

Happy to note this and thanks for the encouraging words, Arun. Yes, everything that you've suggested is in the pipeline. We will make this happen this year 😊

[Reply](#)

119.  *Niles* says:
[January 15, 2018 at 12:11 am](#)

Very useful knowledge.
Thanks !

[Reply](#)

-  *Karthik Rangappa* says:
[January 15, 2018 at 11:21 am](#)

Happy learning, Nilesch!

[Reply](#)

120.  *Vinay* says:
[January 6, 2018 at 2:07 pm](#)

Well that was a exhaustive read !!! Kudos to the writer/team, well thought out articles...good points to start off...

[Reply](#)

-  *Karthik Rangappa* says:
[January 7, 2018 at 11:00 am](#)

Good luck and happy learning, Vinay!

[Reply](#)

121.  *Frank* says:
[January 1, 2018 at 5:03 am](#)

Karthik if you could please upload some material on Trading in pre market and after market as well. It will be your utmost kindness.

[Reply](#)

-  *Karthik Rangappa* says:
[January 1, 2018 at 6:05 pm](#)

Nothing much you can do in Pre market, Frank. Or at least, I'm not too aware of it.

[Reply](#)

122.  *Atul Tormad* says:
[December 21, 2017 at 11:34 pm](#)

Hi please help me with this.. Is shorting and btst the same? And also is Intraday and shorting same? N is shorting illigal? Please help

[Reply](#)

-  *Karthik Rangappa* says:
[December 22, 2017 at 11:47 am](#)

Intraday trade is when you buy and sell on the same day. The position is not carried forward to the next day.

Shorting is when you sell first and buy later, shorting in stocks can be done only on an intraday basis.

BTST is when you buy today and sell tomorrow. You cannot sell today and buy tomorrow, remember shorting can be done only on an intraday basis.

Shorting is not illegal.

[Reply](#)

123.  *Rakesh Hansalia* says:
[December 21, 2017 at 2:08 am](#)

This 14th chapter(Supplementary Note) is not included in Module-1 download PDF, please add it as well !

[Reply](#)

-  *Karthik Rangappa* says:
[December 21, 2017 at 11:12 am](#)

Will be updated soon.

[Reply](#)

124.  *Ram* says:
[December 15, 2017 at 7:20 pm](#)

Seriously great content.. I always read this google chrome... When I search zerodha in chrome.. 1st link will be anglebroking.Com offering zero interest 2nd link will be shown as zerodha. I request your software team to make zerodha appear 1st when searched about it.

[Reply](#)

-  *Karthik Rangappa* says:
[December 16, 2017 at 6:47 pm](#)

Happy learning, Ram!

[Reply](#)

125.  *Vaibhav* says:
[December 1, 2017 at 6:04 pm](#)

Hi

It was great content.

I Just have a doubt. How does an Offer for sale helps the company to fund itself when the shares which promoters holds are offered in the market. When promoters sells shares the amount received must be accrued to the promoter itself and not to the company.

[Reply](#)

-  *Karthik Rangappa* says:
[December 2, 2017 at 11:22 am](#)

It depends on who is offering the shares. If the company is tendering the shares, then the proceeds will go to the company. If it is the promoter or some other investors tendering the shares, the proceeds will go to them.

[Reply](#)

126.  *Soni* says:
[November 14, 2017 at 2:13 pm](#)

Sir, is there any virtual simulator available for commodity(MCX) and equity trading so that we can try out our strategies without using real money

[Reply](#)

- o  *Karthik Rangappa* says:
[November 15, 2017 at 11:23 am](#)

Don't think there are any, Soni.

[Reply](#)

127.  *Chakradhar Reddy* says:
[October 31, 2017 at 1:59 pm](#)

Hi karthik,

I need a small clarification on how the stock price is fixed .. I have given few examples as per my understanding...please clarify me on this:

Example:

A company ABC is trading at Rs.325 at a particular time

1)Two persons have placed an order: one for a buy with bid 324 and another for a sell with ask 326. Assuming these are the only two persons trading for that company at that time. What happens in this situation. (I think the trading value will remain same!)

A company ABC is trading at Rs.325 at a particular time

2)Now there are three bids and four asks

Bid: 325; quantity -2

Bid: 324; quantity -10

Bid: 323; quantity -6

Ask: CMP(325); quantity -2

Ask: 326; quantity -8

Ask: 327; quantity -4

Ask: 328; quantity -2

In this case, after the shares are traded at 325, the trading price will still remain same at 325...Am i right?

3) How is the open price of a day decided?

4)How is the listing price of an IPO decided?

[Reply](#)

- o  *Karthik Rangappa* says:
[November 1, 2017 at 10:54 am](#)

1) Since the bid-ask does not match, no trade happens. One of them will have to change the price to match the counterparty.

2) Yes, because the top bid-ask does not match. However, if a new guy comes and places a market order, the transaction will go through (for either buying or selling)

3) Based on the bid-ask order book build during the pre-open

4) Book building process

[Reply](#)

-  *Chakradhar* says:
[November 2, 2017 at 9:29 am](#)

Regarding 3, I would like to quote another example... please do tell me if I am right

Day 1: closing price of a stock ABC is Rs200

Day 2:

As soon as the trading starts company hits UC(240)

MY query is stock price keeps increasing only when there is a buy at any price... But before the market opened no one would have placed a bid for 240 or 230(i think so because no one exactly knows that it will exactly increase by that much percentage) then how will it reach that price as soon as the market opens.

And regarding 4 I was asking how the listing price of an IPO sometimes opens at a higher price...how is this decided.

Example: DMART

I think if i get an answer for 3, probably 4 will also be answered

[Reply](#)

-  [Faisal Mohammed](#) says:
[November 2, 2017 at 11:04 am](#)

Stock ABC will only hit upper circuit if a trade occurs at Rs 240(A buyer willing to buy at 240 and a matching seller). At Pre-market between 9:00 and 9:15AM there is buying interest for this to occur. Once a non-F&O stock hits 20% limit, buying is not allowed anymore.

For IPO, Pre-open session runs between 9.00 AM and 9.45 AM where orders are accepted. Between 9.45 AM and 10.00 AM, the orders are matched and the listing price is decided at 10.00 AM when it commences for normal trading

[Reply](#)

-  [Chakradhar](#) says:
[November 2, 2017 at 6:00 pm](#)

Hi faisal,
I still lack some clarity.
day 0 : closing price of abc is 200
day1 : open is 240(UC)

So between 9 and 9:15 am of day1, there should be a bid placed at 240 with an ask at the same price..

But during that pre open session, no one knows how many bids are placed, right?

Why would someone want to place an order at such a price... (This point is where I am not getting)

-  [Faisal Mohammed](#) says:
[November 2, 2017 at 7:59 pm](#)

Although you are not able to see the bid and ask during pre-open, the exchange does order matching and that's how the open price is determined. In your hypothetical case, I'm assuming there's a lot of demand for the script, and there are buyers willing to pay ₹240. You can read more here.

-  [Chakradhar](#) says:
[November 3, 2017 at 12:15 pm](#)

Thanks faisal

-  [Karthik Rangappa](#) says:
[November 2, 2017 at 11:13 am](#)

Regarding 3 – this really depends on the kind of buying or selling pressure in the market. The best way to think about this is by thinking about it as a pressure cooker



When there is excessive bullishness, price tends to gap up. Likewise with gap downs.

[Reply](#)



- *Chakradhar* says:
[November 3, 2017 at 12:14 pm](#)

Thanks karthik... Btw the documentation is too good



- *Karthik Rangappa* says:
[November 3, 2017 at 6:40 pm](#)

Cheers!



- *Anuraag* says:
[November 28, 2017 at 7:42 pm](#)

Hi Karthik,

1 query. If the closing price of stock was 200. And suppose in the pre open session there's a single bid of 250 and a single ask of 250 and it has matched. So does this mean the stock will open at 250..?



- *Karthik Rangappa* says:
[November 29, 2017 at 10:54 am](#)

Maybe, if its an F&O stock. F&O stocks do not have upper lower circuits. For everything else, there are circuit restrictions.



128. *Shivam Bhatia* says:
[October 2, 2017 at 5:53 pm](#)

The content was excellent..but i have one confusion..if compnay has done IPO so it will again go for OFS...it can issue additional shares as a bonus also..

[Reply](#)



- *Faisal Mohammed* says:
[October 3, 2017 at 12:26 am](#)

Once the company is listed on the exchange by means of an IPO, it can choose to raise additional capital through OFS(or FPO or Rights Issue)- Cash inflow
Bonus issue is different where the company chooses to reward the shareholders by giving additional shares using its reserves- Cash outflow

[Reply](#)



129. *Sabarivasan A* says:
[September 29, 2017 at 12:37 am](#)

Hi Karthik,

The modules are informative and useful for someone like me who is new to the share market. I am holding 1890 shares of Rana sugars and bought it for 10.20 per share and did not put a stoploss(I was not aware about it). Now the share price is 7.70 Rs as of today. Please let me know the future of the shares

[Reply](#)



- o *Karthik Rangappa* says:
[September 29, 2017 at 11:44 am](#)

Happy learning, Sabarivasan 😊

As a business, we do not advise clients on individual shares. So I'm afraid I cannot help you with this.

[Reply](#)



130. *Ash* says:
[September 23, 2017 at 1:02 pm](#)

Is there a feature in Kite to see the price action of an underlying for a particular day in the past by choosing a date? It is very tedious to scroll all the way back by pulling the cursor.

[Reply](#)



- o *Karthik Rangappa* says:
[September 23, 2017 at 1:10 pm](#)

Ah, not really.

[Reply](#)



- *Ash* says:
[September 25, 2017 at 10:32 pm](#)

Would you great, if you could forward this feedback to have this feature, to your software development team. 😊

[Reply](#)



- *Karthik Rangappa* says:
[September 26, 2017 at 10:12 am](#)

I've done that already, they will review it and implement if feasible.

[Reply](#)



- *Ganesh* says:
[September 26, 2017 at 9:46 pm](#)

Poor Service account opening..... No help... No support at all.... I don't know how you guys are working...

[Reply](#)



- *Karthik Rangappa* says:
[September 27, 2017 at 11:33 am](#)

Can you please share your experience on feedback@zerodha.com?

[Reply](#)



- *raju* says:

[November 4, 2018 at 11:18 am](#)

really very much insightful and value educating for beginners....thanks sir

[Reply](#)



- *Karthik Rangappa* says:

[November 4, 2018 at 6:02 pm](#)

Happy learning, Raju!

[Reply](#)



131. *Suraj S Jagtap* says:

[September 23, 2017 at 10:01 am](#)

Excellent Efforts on clearing the contents... Thank You So Much....

[Reply](#)



- *Faisal Mohammed* says:

[September 23, 2017 at 10:20 am](#)



[Reply](#)



- *Karthik Rangappa* says:

[September 23, 2017 at 12:59 pm](#)

Happy learning!

[Reply](#)



- *shobhit* says:

[October 25, 2017 at 8:28 pm](#)

Thanks. I have started now.

[Reply](#)



- *Karthik Rangappa* says:

[October 26, 2017 at 11:24 am](#)

Cheers!

[Reply](#)



- *Ahmed* says:

[August 9, 2018 at 8:31 am](#)

This is great, I appreciate a lot for this but if it's in a video form then that will be better



■ *Karthik Rangappa* says:

[August 9, 2018 at 1:14 pm](#)

Sure, thanks Ahmed. We will try and do a webinar on this.

Leave a Reply

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